

**BEFORE THE
FEDERAL MARITIME COMMISSION**

DOCKET NO. 15-04

**CROCUS INVESTMENTS, LLC AND CROCUS, FZE
(Complainants)**

v.

**MARINE TRANSPORT LOGISTICS, INC. AND
ALEKSANDR SOLOVYEV a/k/a ROYAL FINANCE GROUP INC.
(Respondents)**

**OPPOSITION TO COMPLAINANTS' MOTION TO EXTEND THE DEADLINE FOR
THE COMMISSION'S ISSUANCE OF A FINAL DECISION**

Respondents Marine Transport Logistics, Inc. and Aleksandr Solovyev, through its undersigned counsel, respectfully submits this Opposition to Complainants' February 1, 2018 Motion to Extend the Deadline for the Commission's Issuance of a Final Decision.

At the outset, Respondents note that this present motion was, unfortunately, predicted by Respondents nearly four months earlier, in Respondents' October 10, 2017 Reply to Complainants' *Second* Petition to Reopen Proceedings. See, FMC Docket No. 15-04, Document No. 53, at p. 7 ("At this point, assuming that the Commission also denies Complainants' Second Petition, *Respondents must anticipate yet another Petition or other means of delaying a Final Decision in 2018.*")(emphasis added).

BACKGROUND AND PROCEDURAL HISTORY

Respondents are not of unlimited means, and Complainants' repeated vexatious and meritless filings seeking to delay a Final Decision (initial deadline of December 19, 2016 following the June, 17, 2016 Initial Decision), have had deleterious effect on Respondents. This "motion" is merely the latest in a long list of delay tactics, *subsequent* to the June 16, 2016 Initial Decision:

- (a) June 29, 2016: Complainants filed a motion seeking an enlargement of time to file exceptions from July 18, 2016 to September 12, 2016. This first enlargement of time was granted by the Commission, with the deadline for Final Decision being extended to February 20, 2017. See, FMC Docket No. 15-04, Document No. 30, 32.
- (b) September 5, 2016: Complainants filed a motion seeking a *second* enlargement of time to "file exceptions" from September 12, 2016 to February 12, 2017, i.e., an enlargement of time from the normal 22-day filing period to 153 days, in addition to the first enlargement of time that was previously granted. See, FMC Docket No. 15-04, Document No. 34. The Commission subsequently granted a 45-day "extension of time to file exceptions," with the deadline for a Final Decision extended from February 20, 2017 to April 6, 2017. See, FMC Docket No. 15-04, Document No. 36.
- (c) October 27, 2016: Complainants, *instead of* filing exceptions as represented in their motions for enlargements of time, filed a "First" Petition to Reopen

Proceedings.¹ *See*, FMC Docket No. 15-04, Document No. 38. Complainants alleged therein that “new additional evidence is material to and undermines the logic of the Initial Decision.” *See*, FMC Docket No. 15-04, Document No. 38, at p. 4. As part of this “First” Petition to Reopen, Complainants yet again sought another extension of time of 20-days to file Exceptions. Complainants “First” Petition was denied by the Commission on March 6, 2017 and the Commission found that Complainants evidence was *not* new or material. *See*, FMC Docket No. 15-04, Document No. 44. The Commission further denied the request for a 20-day extension and provided Complainants with 7 days to file Exceptions.

- (d) December 5, 2016: In conjunction with the “First” Petition to Reopen Proceedings, Complainants later filed a Motion For Leave to File Reply. *See*, FMC Docket No. 15-04, Document No. 41. Complainants alleged therein that, “extraordinary circumstances exist herein to warrant the granting of leave to Complainants to interpose a Reply...” *Supra*. This Motion was also denied by the Commission on March 6, 2017, and the Commission found that, “None of the

¹ In Complainants’ Motion to Extend the Deadline, Complainants alleged that “On October 28, 2016 and *prior to* the due date for filing Exceptions to the Initial Decision, complainants filed a Petition to Reopen...” *See*, Complainants’ Motion to Extend the Deadline, at p. 1 (emphasis added). This is incorrect. To the contrary, the Commission’s September 8, 2016 Notice of Extension of Time to File Exceptions expressly indicated that the due date for exceptions was October 27, 2016. *See*, FMC Docket No. 15-04, Document No. 36 (“The time for filing exceptions to the Initial Decision is extended from September 12, 2016 to October 27, 2016.”) Complainants did not file a Petition *prior* to the date for filing Exceptions; rather, Complainants filed a Petition *instead of* filing Exceptions. Complainants clearly *never* intended to file their Exceptions by October 26, 2016 and instead sought the prior extensions for the purpose of obtaining time to file their “First” Petition to Reopen Proceedings. The proof of this is that even after obtaining extensions of time from July 18, 2016 to October 27, 2016 to file Exceptions (i.e., 101 days) Complainants, by their own admission, were not in any position to timely file Exceptions on October 27, 2016 and, in fact, requested an additional 20-days (i.e., nearly the full 22-days normally required) after October 27, 2016 to file Exceptions.

reasons Complainants assert constitute extraordinary circumstances that warrant a reply brief. Complainants simply disagree with Respondents' arguments on the merits and seek to have the last word." See, FMC Docket No. 15-04, Document No. 44, at p. 7.

- (e) March 13, 2017: Complainants finally filed their Exceptions to the June 17, 2016 Initial Decision. See, FMC Docket No. 15-04, Document No. 45. The deadline for a Final Decision was, consequently, extended from April 6, 2017 to October 6, 2017. See, FMC Docket No. 15-04, Document No. 49.
- (f) September 27, 2017: Complainants filed a *second* Petition to Reopen Proceedings. See, FMC Docket No. 15-04, Document No. 50. Complainants again allege that "new evidence" is "material and would have resulted in a different conclusion by the Presiding Officer..." Supra, at p. 7. Complainants also accused Respondents and counsel of "defrauding" the Commission; an accusation which Respondents noted has also been levied by Complainants' counsel (M. Nussbaum, Esq.) against his different adversaries in nearly every proceeding before the Federal Maritime Commission.² This Second Petition is currently pending before the Commission, and the deadline for a Final Decision was extended from October 6, 2017 to February 6, 2018. See, FMC Docket No. 15-04, Document No. 52.

² See, e.g., Baltic Auto Shipping, Inc. v. Michael Hitrinov, FMC Docket No. 14-16, Document No. 102 (accusing the respondents and their counsel of attempting to "perpetrate a fraud upon the Commission"); Igor Ovechnikov, et al. v. Michael Hitrinov, FMC Docket No. 1953(I), Document No. 173, Complainants' May 3, 2017 "Exceptions" at p. 47 and passim (accusing respondents and their counsel of committing "a fraud upon this Commission").

In effect, Complainants now seek leave to delay a Final Decision yet again. But, once again, there is no good cause or any other basis for doing so. For the reasons below, Respondents respectfully oppose Complainants' Motion to Extend the Deadline.

OPPOSITION

1. **Complainants did not confer with Respondents, as required pursuant to Commission Rule 71.**

Rule 71 imposes a duty on a movant to confer before filing a non-dispositive motion. 46 C.F.R. § 502.71. Conferring, in this regard, requires the parties to “attempt to discuss the anticipated motion with each other in a good faith effort to determine whether there is any opposition to the relief sought and, if there is opposition, to narrow the areas of disagreement. The moving party must state within the body of the motion what attempt was made or that the discussion occurred and whether the motion is opposed.” 46 C.F.R. § 502.71(a)(“Duty to Confer.”)

Complainants' counsel, in their Motion to Extend the Deadline, represented to the Commission that “On January 31, 2018, counsel for complainants consulted³ with respondents regarding this motion.” See, Complainants' Motion to Extend the Deadline, at p. 1. This is disingenuous. In reality, Complainants' counsel sent the undersigned counsel a single email on January 31, 2018, wherein Complainants stated their intention to file the present motion, and requested Respondents to consent to the motion within one day or be “acknowledged” to have consented: “Kindly advise by close of business on February 1, 2018 as to your clients' consent to the extension or lack thereof. The absence of a response from you will be acknowledged as your clients' consent to the extension of time.” See, Complainants January 31, 2018 email, annexed as

³*Compare with* Rule 71(a), requiring the parties “attempt to discuss the anticipated motion with each other in a good faith effort...”

Exhibit “1”. In terms of *substance*, the email alleges only that “Mr. Alper gave testimony ... which is material to the Commission’s Final Decision...” The email is bereft of *any details* whatsoever concerning the motion, e.g., identifying what “testimony” was given or how and why Complainants believed such testimony to be material. Under the circumstances, Respondents indicated that they *did not* consent and would oppose the motion.

But, with regard to Rule 71(a), demanding that an adversary consent to a motion or be deemed to have consented (without giving any details on what basis exists for a motion), clearly is not a discussion, conference, or consultation. Absent here is the good faith discussion required and, consequently, the “areas of disagreement” could not be narrowed, because Complainants did not even identify what the “areas” *were*. Respondents, thus, were unable to evaluate whether any agreement or disagreement existed, and under the circumstances, Respondents could not agree to the present motion.

2. **Complainants did not identify any argument that would be material to the Final Decision.**

Notwithstanding Complainants’ clear failure to confer, despite representing otherwise to the Commission, Complainants Motion to Extend the Deadline should be denied because Complainants have not identified any arguments or facts that would be “material” to the Final Decision. The testimony allegedly given by Mr. Alper, as represented by Complainants’ counsel, purports to “establish that respondent, Solovyev, represented himself to be ‘General Manager’ of MTL when he sold the boats to complainants” in a “Vessel bill of sale.” See, Complainants’ Motion to Extend the Deadline, at ¶ 13. The alleged materiality of this “fact” – assuming that Mr. Alper indeed gave this testimony and that Mr. Alper’s testimony is admissible – is that “RFG (owned personally by Solovyev) was indeed acting as an OTI without a license.” See,

Complainants’ Motion to Extend the Deadline, at ¶¶ 14. This allegation and argument fails for several reasons.

First and foremost, Complainants have *already* attempted to raise this exact argument before the Commission. In this regard, in Complainants’ First Petition to Reopen Proceedings, Complainants argued that Respondent Solovyev was a “general manager” for MTL. This exact argument was rejected by the Commission in the March 6, 2017 Memorandum Opinion and Order as follows:

With respect to the agency issue, Complainants argue that the new evidence will establish that Mr. Solovyev was “intimately involved” in Marine Transport’s dealings *and represented himself as its general manager*. Proposed Findings at 7-8, see also Pet. at 4-5.

* * *

Even if those assertions are true, they do not establish that Mr. Solovyev acted as an unlicensed NVOCC as Complainants allege. The ALJ found that Mr. Solovyev disclosed that he was acting on behalf of Marine Transport, which is a licensed NVOCC, and that he did not represent otherwise to the general public or hold himself out as individually providing ocean transportation services. Initial Decision at 21. Those findings are supported by the evidence, which includes email correspondence between Mr. Safonov and Mr. Solovyev. Id.

Thus, *even if the proffered evidence establishes the facts that Complainants allege*, that still is not sufficient to prove that Mr. Solovyev held himself out as individually providing ocean transport services and was not acting as Marine Transport’s agent.

See, FMC Docket No. 15-04, Document No. 44, Memorandum Opinion and Order, at p. 13 (emphasis added). Complainants’ motion simply repeats this exact argument, with the alleged addition of likely inadmissible “new evidence.” This is a waste of Respondents’ and the Commission’s time and should not be condoned, because once again, “even if the proffered

evidence establishes the facts that Complainants allege,” it would be insufficient as a matter of law. Nothing more should need to be said and Complainants’ Motion to Extend the Deadline should be denied.

Second, as previously noted by the Commission in the March 6, 2017 Memorandum Opinion and Order, it is Complainants’ own Findings of Fact and testimony, which were submitted to the Administrative Law Judge, that establish their knowledge that Respondent Solovyev was acting as MTL’s agent. See, FMC Docket No. 15-04, Document No. 12, Complainants’ Pre-Hearing Brief, Finding of Fact no. 13 (“MTL permitted Aleksandr Solovyev to act on its behalf and hold himself out as its agent.”) During argument before Administrative Law Judge Guthridge, Complainants made it clear that they knew “Solovyev held himself out [as] some kind of extension of MTL. He was an agent for MTL in his signature block in the e mail.”) See, FMC Docket No. 15-04, Document No. 27, at p. 11:9-10. Any “new” evidence would, thus, be contrary to Complainants’ own prior testimony and arguments.

3. **Complainants have not suffered a Shipping Act injury; no testimony by Mr. Alper will change this fact.**

Moreover, none of Mr. Alper’s testimony, as *summarized* by Complainants, is or ever will be material. “Evidence is material only if there is a reasonable probability that it will change the outcome.” Green Master Int’l Freight Serv. Ltd. - Possible Violations of Section 10(a)(1) and 10(b)(1) of the Shipping Act of 1984, 29 S.R.R. 1303, 1318 (FMC 2003). Under the facts of this proceeding, and as also addressed in Respondents’ Opposition to Complainants Second Petition to Reopen, Complainants have yet to establish any injury resulting from a Shipping Act violation with respect to the boats at issue. Accordingly, without a Shipping Act injury, it is immaterial as to whether Complainants can establish a Shipping Act violation – which, in any event, Complainants also have failed to do. Jonny and Adriana Bossle v. Keystone Limited, 1993 WL

104678, at *3, Informal Docket No. 1721(I) (F.M.C. 1993)(for complainants to prevail, it must be established that the violation was the cause of complainants' injury.)

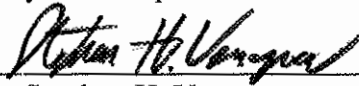
4. **Complainants' repeated threats of involving the Bureau of Enforcement are obviously not material to the Final Decision.**

Unfortunately, Complainants' counsel closes again with threats that he "believes [there] may be an issue for the Bureau of Enforcement." See, Complainants' Motion to Extend the Deadline, at ¶¶ 15-16. Respectfully, Complainants are *not* the Bureau of Enforcement and any decision by the Bureau of Enforcement, should the Bureau of Enforcement take action at their discretion, will also not be material to the Final Decision. There is, thus, no legitimate or appropriate non-retaliatory purpose for Complainants and their counsel's repeated threats to involve the Bureau of Enforcement.

For all the foregoing reasons, and given the absence of good cause being shown, Respondents oppose Complainants' Motion to Extend the Deadline.

Dated: February 5, 2018
New York, NY

Respectfully submitted,
MONTGOMERY McCracken
WALKER & RHOADS, LLP
Attorneys for Respondents

By: 
Stephen H. Vengrow
Eric Chang
437 Madison Ave, 29th Floor
New York, NY 10022
212-551-9500

CERTIFICATE OF SERVICE

The undersigned declares under penalty of perjury that the following is true and correct:

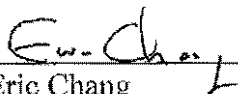
1. I am over the age of eighteen years and I am not a party to this action.
2. On February 5, 2018, I served a complete copy of Respondent's OPPOSITION TO COMPLAINANTS' MOTION TO EXTEND THE DEADLINE FOR THE COMMISSION'S ISSUANCE OF A FINAL DECISION, in Docket No. 15-04 by E-mail and U.S. Mail to:

Original and 5 Copies to:

Secretary, Federal Maritime Commission
800 N. Capital St., NW.
Washington DC 20573-0001
secretary@fmc.gov

Copy to:

Marcus A. Nussbaum, Esq.
P.O. Box 245599
Brooklyn, NY 11224
marcus.nussbaum@gmail.com


Eric Chang

Dated: February 5, 2018
New York, New York

Exhibit “1”

Chang, Eric

From: Marcus Nussbaum <marcus.nussbaum@gmail.com>
Sent: Wednesday, January 31, 2018 8:37 PM
To: Vengrow, Stephen
Cc: Chang, Eric
Subject: FMC Docket 15-04 - Crocus Investments LLC et al. v. MTL et al.

Dear Mr. Vengrow,

As you are aware, the deposition of Dmitry Alper took place today at the U.S. District Court for the District of New Jersey, wherein he testified in his capacity as former General Counsel and Director of Operations of Marine Transport Logistic, Inc. ("MTL").

During the course of said deposition, Mr. Alper gave testimony regarding MTL, Aleksandr Solovyev, and Royal Finance Group, Inc. involving the very same cargo at issue in this action and which is material to the Commission's Final Decision on complainants' Exceptions and Petitions to Reopen the Proceedings. In order to ensure that the Commission is fully briefed on these new facts and information which will impact the Commission's Final Decision, we intend to make a motion for an extension of the Commission's February 6, 2018 deadline for the issuance of a Final Decision.

We will ask for a 60 day extension of time, which will be sufficient for receipt and review Mr. Alper's deposition transcript, as well as for complainants to brief the Commission.

Kindly advise by close of business on February 1, 2018 as to your clients' consent to the extension or lack thereof. The absence of a response from you will be acknowledged as your clients' consent to the extension of time.

Regards,

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